

ORACLE FUSION CLOUD FINANCIALS

Oracle Fusion – Accounting Derivation

A consultant's reference for accounting events across GL, AP, AR, FA, CM, PO, INV, FAH, and Expenses

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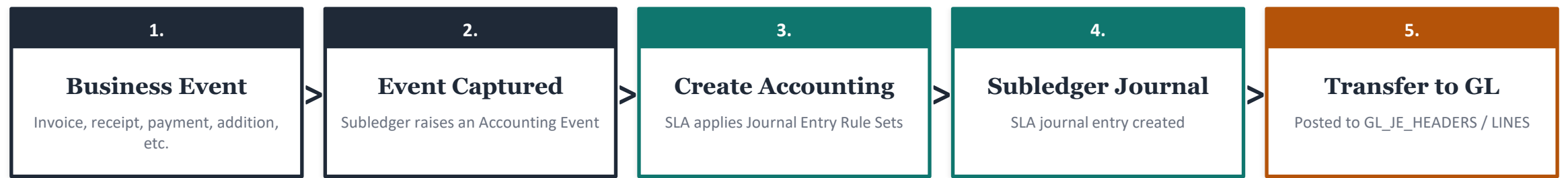
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April 2026

How Accounting Flows Across Modules

Every accounting entry in Oracle Fusion Financials follows the same flow: a business event triggers a Subledger Accounting (SLA) journal, which is then transferred to the General Ledger.



Two Categories of Modules

SUBLEDGERS THAT GENERATE ACCOUNTING

AP (Payables) • **AR** (Receivables) • **FA** (Assets) • **CM** (Cash Mgmt)
Receipt Accounting & Cost Accounting (PO/INV) • **Expenses** • **FAH** (external sources)

Each subledger has predefined event classes and event types. Accounting is created by the Create Accounting process and transferred to GL.

GENERAL LEDGER (DESTINATION + DIRECT ENTRY)

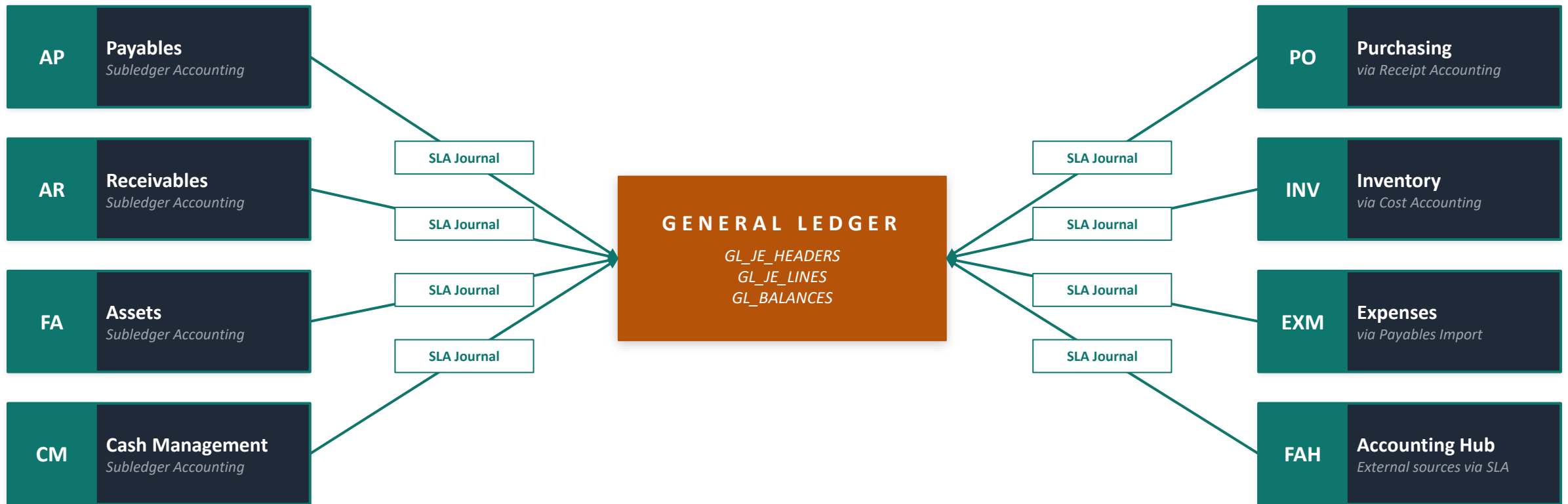
GL is both the destination for all subledger postings and a direct source of accounting via:

- Manual journals • Spreadsheet upload • Allocations
- Revaluation • Translation • Consolidation
- Recurring journals • AutoReverse

GL does not use SLA — its journals come directly from the GL engine.

How Each Subledger Posts to the General Ledger

Every subledger creates SLA journals that flow into the General Ledger. GL is the single source of truth — all subledger postings consolidate here for trial balance, reporting, and consolidation.



Process flow: Business Event → Create Accounting (SLA) → Subledger Journal → Transfer to GL → Post in GL

Accounting Directions Generated from General Ledger

GL generates accounting directly (no SLA layer). It is also the destination for all subledger journals.

BUSINESS EVENT	EVENT CLASS / TYPE	ACCOUNTING DIRECTION
Upon Manual Journal Entry	Manual Journal <i>Posted</i>	Dr Account being debited Cr Account being credited
Upon Spreadsheet / ADFdi Upload	Imported Journal <i>Source = Spreadsheet</i>	Dr As entered in spreadsheet Cr As entered in spreadsheet
Upon Revaluation Run	Revaluation <i>Unrealized G/L</i>	Dr Unrealized FX Loss (or reverse for gain) Cr Foreign Currency Account (revalued)
Upon Translation Run	Translation <i>Cumulative Translation Adjustment</i>	Dr Cumulative Translation Adjustment (CTA) Cr Reporting Currency Equity (offset)
Upon Allocation Run (Calc Mgr)	Allocation <i>Generated Journal</i>	Dr Target Account(s) — per allocation rule Cr Source Account(s) — by ratio / fixed amount Cr Multiple sources allowed
Upon Recurring Journal Generation	Recurring <i>Standard / Skeleton / Formula</i>	Dr Per recurring journal template Cr Per recurring journal template

Note: GL journals carry the source of the originating module (Payables, Receivables, etc.) for traceability and reconciliation.

Accounting Directions Generated from Payables

Payables generates SLA accounting for invoices, payments, prepayments, and reconciliation events.

BUSINESS EVENT	EVENT CLASS / TYPE	ACCOUNTING DIRECTION
Upon Invoice Validation	Invoices <i>Invoice Validated</i>	Dr Item Expense Account Cr Liability (AP Trade) Cr Recoverable Tax / Withholding Tax (if configured)
Upon Prepayment Application	Prepayments <i>Prepayment Applied</i>	Dr Liability (AP Trade) Cr Prepayment Account
Upon Payment Issued	Payments <i>Payment Created</i>	Dr Liability (AP Trade) Cr Cash Clearing (or Cash if no Cash Clearing setup) Cr Realized FX Gain/Loss (foreign currency)
Upon Payment Reconciliation in CM	Reconciled Payments <i>Payment Cleared</i>	Dr Cash Clearing Cr Cash
Upon Invoice Cancellation	Invoices <i>Invoice Cancelled</i>	Dr Liability (AP Trade) — reversed Cr Item Expense Account — reversed
Upon Payment Void	Payments <i>Payment Voided</i>	Dr Cash / Cash Clearing — reversed Cr Liability (AP Trade) — restored

Note: Withholding tax, recoverable/non-recoverable tax, and discount events generate additional SLA journal lines on the same event when configured.

Accounting Directions Generated from Receivables

Receivables event entities: Transactions, Receipts, Adjustments, and Bills Receivable. Each has its own event classes.

BUSINESS EVENT	EVENT CLASS / TYPE	ACCOUNTING DIRECTION
Upon Invoice Completion	Invoice <i>Invoice Created</i>	Dr Receivable (control account) Cr Revenue Account Cr Tax Liability (output VAT)
Upon Credit Memo Application	Credit Memo <i>Credit Memo Created</i>	Dr Revenue Account Cr Receivable (control account) Cr Tax Liability (reversed)
Upon Standard Receipt Application	Receipt <i>Receipt Application</i>	Dr Confirmation / Remittance / Cash Cr Receivable (control account) Cr Earned Discount (if any)
Upon Miscellaneous Receipt	Miscellaneous Receipt <i>Receipt Created</i>	Dr Cash Cr Miscellaneous Income (per Receivables Activity)
Upon Receipt Reversal (NSF)	Receipt <i>Receipt Reversed</i>	Dr Receivable (control account) — restored Cr Cash / Confirmation — reversed
Upon Adjustment / Write-off	Adjustment <i>Adjustment Created</i>	Dr Adjustment / Write-off Account (per Activity) Cr Receivable (control account)

Note: Revenue accounts come from AutoAccounting; SLA can override them via account rules. Multi-fund AR posts to multiple balancing segments per transaction.

Accounting Directions Generated from Assets

Assets generates SLA accounting for the full asset lifecycle: addition, depreciation, transfers, retirements, and adjustments.

BUSINESS EVENT	EVENT CLASS / TYPE	ACCOUNTING DIRECTION
Upon Asset Addition	Additions <i>Addition</i>	Dr Asset Cost Account Cr Asset Clearing (cleared from AP source) Cr CIP Cost (if from Project capitalization)
Upon Depreciation Run	Depreciation <i>Depreciation</i>	Dr Depreciation Expense Cr Accumulated Depreciation
Upon Asset Transfer	Transfers <i>Transfer</i>	Dr Asset Cost — New Cost Center / Location Cr Asset Cost — Old Cost Center / Location
Upon Asset Retirement	Retirements <i>Retirement</i>	Dr Accumulated Depreciation Cr Asset Cost (full) Dr Loss / Cr Gain on Retirement (NBV vs proceeds)
Upon Cost Adjustment	Adjustments <i>Cost Adjustment</i>	Dr Asset Cost (delta to capitalized value) Cr Asset Clearing (positive adjustment) Cr Adjustment Account (downward adjustment)
Upon Revaluation	Revaluation <i>Revaluation</i>	Dr Asset Cost (revalued upward) Cr Revaluation Reserve (equity) Cr Accumulated Depreciation (proportional adjustment)

Note: Group depreciation, intercompany transfers, and impairment generate additional event types beyond those listed.

Accounting Directions Generated from Cash Management

CM generates accounting for bank reconciliation, bank statement transactions, and external transactions — not for AP payments or AR receipts (those are owned by their source subledger).

BUSINESS EVENT	EVENT CLASS / TYPE	ACCOUNTING DIRECTION
Upon AP Payment Reconciliation	Reconciled Payments <i>Payment Reconciled</i>	Dr Cash Clearing Cr Cash Cr Bank Charges (if deducted on statement)
Upon AR Receipt Reconciliation	Reconciled Receipts <i>Receipt Cleared</i>	Dr Cash Cr Remittance / Confirmation Account Cr Bank Charges (if deducted)
Upon Bank Statement Misc. Line	Bank Statement Line <i>Misc. Bank Transaction</i>	Dr Bank Charges Expense (or Cash for income credits) Cr Cash (for charges); or Cr Interest Income (offset for credit-side BSL)
Upon External Transaction Creation	External Transaction <i>External Transaction</i>	Dr Cash (or expense / income — per type) Cr Offset Account (per External Transaction Type setup)
Upon Bank Account Transfer	Bank Account Transfer <i>Transfer</i>	Dr Cash — Receiving Bank Account Cr Cash — Sending Bank Account Cr Bank Transfer Charges (if any)

Note: Whether CM accounts for the clearing leg or AP/AR does depends on Cash Clearing setup. With a clearing account, AP debits Cash Clearing; CM later moves it to Cash on reconciliation.

Accounting Directions Generated from Purchasing

PO does not have its own SLA subledger. Accounting is created by Receipt Accounting (perpetual) or by the Create Uninvoiced Receipt Accruals process (period-end). Encumbrance entries are created when Budgetary Control is enabled.

BUSINESS EVENT	EVENT CLASS / TYPE	ACCOUNTING DIRECTION
Upon PO Approval (Budgetary Control on)	Encumbrance <i>PO Encumbrance</i>	Dr Reserve for Encumbrance (Obligation) Cr Budget Account
Upon Goods Receipt (Inventory Item)	Receipt <i>Receipt into Receiving Inspection</i>	Dr Receiving Inspection Account Cr Accrued Liability (AP Accrual Account)
Upon Delivery to Inventory	Delivery <i>Delivery to Inventory Destination</i>	Dr Inventory Valuation Account Cr Receiving Inspection Account Cr Purchase Price Variance (PPV — standard cost only)
Upon Delivery to Expense (Accrue at Receipt)	Delivery <i>Delivery to Expense Destination</i>	Dr Expense Account (PO Charge Account) Cr Receiving Inspection Account
Upon Period-End Accrual (Accrue at Period End)	Period End Accrual <i>Uninvoiced Receipt Accrual</i>	Dr Expense Account (PO Charge Account) Cr Expense AP Accrual Account (period-end)
Upon Period-Start Reversal	Period End Accrual <i>Accrual Reversal</i>	Dr Expense AP Accrual Account (period-end) Cr Expense Account (PO Charge Account)

Note: Inventory items are ALWAYS accrued at receipt (perpetual). Expense items can be set to Accrue at Receipt or Accrue at Period End — set on PO Distribution, defaulted from Item Master / Supplier Site / Purchasing Options.

Accounting Directions Generated from Inventory

Inventory transactions trigger events; Cost Accounting (a Cost Management subledger) creates the actual SLA journals based on cost profile (Standard / Actual / Average).

BUSINESS EVENT	EVENT CLASS / TYPE	ACCOUNTING DIRECTION
Upon Miscellaneous Receipt	Misc. Inventory Receipt <i>Misc. Receipt</i>	Dr Inventory Valuation Account Cr Offset Account (per Inv. Transaction Source / Reason)
Upon Miscellaneous Issue	Misc. Inventory Issue <i>Misc. Issue</i>	Dr Offset Account (per Inv. Transaction Source / Reason) Cr Inventory Valuation Account
Upon Subinventory Transfer	Subinventory Transfer <i>Transfer</i>	Dr Inventory Valuation — Receiving Subinventory Cr Inventory Valuation — Sending Subinventory
Upon Inter-Org Transfer (Issue Leg)	Inter-org Transfer <i>Trade In-Transit Issue</i>	Dr Inter-Org Receivable / In-Transit Cr Inventory Valuation — Sending Org Cr Profit in Inventory (if internal markup tracked)
Upon Sales Order Ship Confirm	Sales Order Issue <i>Sales Order Issue</i>	Dr Cost of Goods Sold (COGS) Cr Inventory Valuation Account
Upon Work Order Completion	WIP Transactions <i>Completion</i>	Dr Inventory Valuation (Finished Goods) Cr WIP Valuation Account Cr Resource Variance (if standard cost)

Note: Standard cost variances (PPV, IPV, EPV, ERV) are recognised at receipt or invoice match. Average and actual costing recalculate item cost on each receipt or cost adjustment.

Accounting Directions Generated from Expenses

Expenses creates an expense report and corporate card transaction, which import into Payables. Payables runs Create Accounting on the resulting invoice. Cash Advances and Card transactions also generate accounting.

BUSINESS EVENT	EVENT CLASS / TYPE	ACCOUNTING DIRECTION
Upon Expense Report Approval (Cash Expense)	Imports to AP — Payables Invoices <i>Invoice Created from Expense Report</i>	Dr Item Expense Account (per Project / Cost Center) Cr Employee Liability (AP Trade) Cr Recoverable Tax (if applicable)
Upon Cash Advance Issuance	Cash Advance <i>Advance Created</i>	Dr Employee Advance Account (asset) Cr Cash (if paid directly) Cr Employee Liability (if processed via AP)
Upon Cash Advance Application	Cash Advance <i>Advance Applied</i>	Dr Employee Liability (AP Trade) Cr Employee Advance Account (asset)
Upon Card Transaction (Company Pay Policy)	Corporate Card <i>Card Issuer Liability Booked</i>	Dr Item Expense Account (per Project / Cost Center) Cr Card Issuer Liability (paid by company to bank)
Upon Card Transaction (Individual Pay Policy)	Corporate Card <i>Card Transaction Approved</i>	Dr Item Expense Account (per Project / Cost Center) Cr Employee Liability (employee reimburses card directly)

Note: Payment policy (Both Pay, Company Pay, Individual Pay) determines which side of the entry is the Card Issuer vs the Employee Liability. Cash advances must be configured as a separate account class.

Accounting Directions Generated from Accounting Hub

FAH does NOT generate accounting from transactions of its own — it accepts transaction data from external systems (or Oracle subledgers) and creates SLA accounting using user-defined rules.

BUSINESS EVENT	EVENT CLASS / TYPE	ACCOUNTING DIRECTION
Upon External Transaction Load (FBDI / REST)	User-defined Event Class <i>Created</i>	Dr Account A — per user-defined Account Rule Cr Account B — per user-defined Account Rule
Upon Source Transaction Adjustment	User-defined Event Class <i>Adjusted</i>	Dr Adjustment Account (per rule) Cr Adjustment Offset (per rule)
Upon Source Transaction Reversal	User-defined Event Class <i>Reversed</i>	Dr Original Credit Account (now debited) Cr Original Debit Account (now credited)
Upon Multi-Period Recognition	User-defined Event Class <i>Multi-Period Recognition</i>	Dr Recognised Expense / Revenue Cr Deferred Expense / Deferred Revenue
Upon Manual Subledger Journal in FAH	Manual Subledger Journal <i>Manual</i>	Dr As entered (validated by SLA rules) Cr As entered (validated by SLA rules)

Note: FAH is the same SLA engine that powers AP, AR, FA — but exposed for non-Oracle source systems (loans, leases, billing engines, treasury, etc.). All accounting is rule-driven via the Accounting Methods Builder.

Procure-to-Pay: Accounting Across 4 Modules

A single PO with goods receipt and invoice match can generate accounting across PO/Receipt Accounting, Inventory/Cost Accounting, Payables, and Cash Management.



Reconciliation tip: Receiving Inspection and Accrued Liability accounts are temporary — they should net to zero over the life of the PO. Use the Receipt Accounting Reconciliation Report to investigate residual balances.

Common Pitfalls & Period-Close Sequence

Common Accounting Direction Pitfalls

- 1 PO accrual mismatch on expense items**
Accrue at Receipt set on item, but PO line uses 2-way match — receipt may be skipped, expense never recognised. Always validate the accrual flag at PO Distribution level.
- 2 Manual GL journals against control accounts**
Manual entries to AP/AR control accounts break reconciliation between subledgers and GL. Use the Payables/Receivables to Ledger Reconciliation Report to detect.
- 3 Closing GL before subledgers**
Always close subledgers (AP, AR, FA, Cost Accounting, CM) BEFORE closing GL. Reverse only happens at the next-period reversal — late entries land in the wrong period.
- 4 AutoAccounting overrides via SLA**
Once SLA account rules customise the default, AutoAccounting becomes setup-only. Document the override layer or future consultants will struggle to trace the account.
- 5 FAH multi-period without Calendar setup**
Multi-period accruals require both the Multi-Period Accounting attribute and a properly defined accounting calendar; missing one causes the recognition events to skip.

Period-Close Order

Critical sequence (top to bottom)

- 1** Close Receivables (AR)
- 2** Close Cost Accounting
- 3** Close Cash Management (CM)
- 4** Close Payables (AP)
- 5** Run Period-End Receipt Accruals
- 6** Close Purchasing (PO)
- 7** Close Assets (FA)
- 8** Close Inventory
- 9** Run final Create Accounting in all subledgers
- 10** Close General Ledger period

KEY TAKEAWAYS

Five Things to Remember

- 1 Every Oracle subledger uses the same SLA engine — only the events and rules differ.
- 2 GL is the only module that creates accounting WITHOUT going through SLA.
- 3 PO accrual is configurable for expense items, but ALWAYS at receipt for inventory.
- 4 FAH is SLA exposed for non-Oracle data — a hub, not a transaction source.
- 5 The period-close order matters as much as the rules: subledgers first, GL last.

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Found this useful? Connect, comment, and share what your team's biggest accounting-direction headache is.